FREE FINANCING REPORT

Condominium Financing Report

Why Project-Level Underwriting Determines Approval, What the 2026 Rule Changes Mean, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Investors Pursue Condominium Financing

Condominium investment properties remain one of the most accessible entry points into real estate investing, but 2026 has brought real change to how the underlying project — not just the individual unit — gets evaluated by lenders. Understanding those project-level rules is now essential to financing a condo successfully.

- **Purpose-built loan programs still exist.** Despite tightening project review standards, conventional, DSCR, and portfolio lenders continue to actively finance condominium investment units for projects with clean documentation.
- **Accessible entry pricing.** Condos typically offer a lower per-unit price point than comparable single-family investment property in many markets, keeping them a common entry point for newer investors.
- **Investor concentration limits just got easier.** Fannie Mae and Freddie Mac eliminated the 50% investor-owner threshold that previously made high-investor-concentration buildings non-warrantable, opening financing eligibility for many previously ineligible projects.
- **Small-project financing expanded.** Buildings with up to 10 units can now qualify for a streamlined Waiver of Project Review, widening the pool of financeable small condo buildings for investors.
- **Specialty lenders fill the gap conventional programs leave.** For non-warrantable or higher-risk projects, DSCR and portfolio lenders remain active where agency financing is unavailable, giving investors a path even in more complicated projects.

That accessibility comes with real project-level risk attached. A well-priced unit in a poorly managed, underinsured, or litigation-prone building can still be difficult or impossible to finance, regardless of the individual unit's condition.

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2026 Market Outlook for Condominium Financing

2026 has been the most consequential year for condominium lending rules in over a decade, arriving alongside real financial stress in several major condo markets. The following figures outline where the market stands:

- Effective August 3, 2026, Fannie Mae and Freddie Mac eliminated their Limited Review process — which had accounted for roughly 40% of all condo project reviews — meaning nearly all condo purchase loans now require a Full Review or a qualifying Waiver of Project Review, extending typical closing timelines by two to four weeks.

  Source: Fannie Mae / Freddie Mac 2026 condominium lending guideline updates

- The minimum HOA reserve allocation is rising from 10% to 15% of annual budgeted assessment income effective January 4, 2027, alongside a requirement that reserve studies follow the highest recommended funding level rather than baseline funding, effective August 3, 2026.

  Source: Fannie Mae / Freddie Mac 2026 condominium lending guideline updates

- The 50% investor-owner concentration threshold that previously made high-investor buildings non-warrantable was eliminated in 2026, though the separate 50% principal-residence requirement for newly converted projects remains in place.

  Source: Fannie Mae / Freddie Mac 2026 condominium lending guideline updates

- National condo prices fell roughly 2.2% year-over-year in the most recent reporting period even as single-family home prices rose slightly; Florida condo prices were down 4.7% to 6.1% statewide, with select metros like Deltona and Crestview down more than 30%.

  Source: National and Florida condominium price tracking data, 2025–2026

- Rising costs are compounding the pressure in stressed markets: Florida condo insurance now averages roughly $1,049 per year against a national average of $455, Miami-area policies can reach $2,570, and special assessments in troubled buildings have ranged from $20,000 to over $100,000 per unit.

  Source: Florida condominium market and insurance cost data, 2025–2026

Bottom line for 2026: This is the most significant tightening of agency condo project review in years — Full Review is now the default, and reserve requirements are rising — even as investor-concentration rules loosened in a separate, offsetting move. In stressed markets like Florida, price declines, high insurance costs, and large special assessments mean a project's financial health now matters more than ever. A strong unit in a weak project remains a genuinely hard loan to get done.

Sources: Fannie Mae / Freddie Mac 2026 condominium lending guideline updates; national and Florida condominium price tracking data (2025–2026); Florida condominium market and insurance cost data (2025–2026).

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Critical Financing Metrics for Condominium Properties

Lenders evaluate the condominium project as closely as the individual unit. The following metrics most often determine whether a request moves forward:

1. **Project Review Status**
   Whether the project qualifies for a Full Review or a Waiver of Project Review. Larger projects generally require a Full Review, which takes longer and demands more complete HOA documentation. **Waiver possible for ≤10-unit buildings**

2. **HOA Reserve Funding**
   The percentage of annual budgeted assessment income allocated to reserves. Reserve studies must now reflect the highest recommended funding level rather than a baseline estimate. **15% minimum (effective Jan. 2027)**

3. **Investor Concentration**
   The proportion of units owned by investors versus owner-occupants. The strict threshold that previously disqualified high-investor buildings has been eliminated for existing projects.

4. **Special Assessment Exposure**
   Any pending or recently levied special assessments against the project. Unresolved assessments are a common cause of loan denial. **$20K–$100K+ per unit in stressed projects**

5. **Insurance Adequacy**
   Master policy coverage levels relative to replacement cost, including the treatment of roof coverage and per-unit deductibles. **$50K per-unit deductible cap**

6. **Owner-Occupancy Ratio**
   The overall mix of owner-occupied versus non-owner-occupied units. A healthier ratio remains a meaningful positive factor in a lender's overall risk assessment.

7. **Debt Service Coverage / Borrower Qualification**
   For DSCR-based investment condo loans, rental income measured against the total housing payment; for conventional programs, standard borrower income and credit qualification. **1.00x–1.25x typical (DSCR programs)**

These metrics form the practical filter that separates condominium financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Current HOA questionnaire, budget, and reserve study are complete and up to date
- [ ] Reserve funding level and study methodology meet current agency requirements
- [ ] Any pending or recent special assessments are disclosed and documented
- [ ] Master insurance policy details, including per-unit deductibles, are confirmed against current requirements
- [ ] Investor concentration and owner-occupancy ratios are documented for the target project
- [ ] The project's review pathway (Full Review vs. Waiver of Project Review) has been confirmed with the lender before proceeding

Common Reasons Condominium Financing Requests Underperform or Get Declined

- Incomplete or outdated HOA questionnaires, budgets, or reserve studies
- Insufficient reserve funding relative to current agency requirements
- Unresolved or undisclosed special assessments
- Master insurance coverage or deductibles that fail current requirements
- Submitting to lenders without confirming the project's review status in advance

Final Perspective

Condominium financing remains genuinely accessible in 2026, but the rules governing project eligibility have shifted meaningfully. Full Review is now the default path for most projects, reserve requirements are climbing, and financially stressed markets are seeing real price and insurance pressure play out in real time.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete HOA documentation, unresolved special assessments, and mismatched lenders are among the most common reasons otherwise solid condominium financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

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- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

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